



22 | The rapid expansion of private hospitals is supported by a steady rise in health insurance coverage

point; value is created by integrating those assets into a single operating model. Over the past five years, it has integrated 31 hospitals into its network, creating regional clusters that, it says, have improved operational efficiency and clinical outcomes.

“Synergies allow you to share resources between hospitals and improve the understanding of the micro-market. It makes more sense to expand within the same geography rather than enter a new one,” says Max Healthcare’s Soi. This also strengthens referrals while making better use of doctors and equipment.

Fortis Healthcare, too, is building around regional clusters. “We continue to progress on our brownfield expansion plans and evaluate further inorganic growth opportunities within our focus geographic clusters,” says Dr. Ashutosh Raghuvanshi, Managing Director and CEO, Fortis Healthcare.

Apollo Hospitals is also redefining its portfolio. During the year, it merged Apollo Cradle and Fertility with Cloudnine to create an integrated mother-and-child care platform, while moving ahead with the proposed demerger of its pharmacy and digital health businesses.

The restructuring points at the group’s effort to emphasise core hospital operations while continuing to invest in capacity and specialised care.

INSURANCE DRIVES DEMAND

The rapid expansion of private hospitals is supported by a steady rise in health insurance coverage. More than 550 million Indians now have health insurance; the AB-PM-JAY has issued over 435 million Ayushman Cards. The Union Budget for 2026-27 allocated ₹9,500 crore to the flagship scheme. More than 70% hospitals empanelled under Ayushman Bharat are in Tier-II and Tier-III cities.

Bajaj Broking Prive has estimated that healthcare demand in these markets is growing at 16-18% annually compared with 12-14% in metros. As more patients can pay through insurance rather than out of pocket, hospitals are gaining confidence to expand into underserved markets.

A Deloitte India survey of hospital CXOs has found that 60% expect the sector to grow by 10-15% in FY27, driven by rising insurance penetration, demand for organised healthcare and continued capacity expansion, including in Tier-II and Tier-III markets.

Yet, the demand-supply gap remains wide. Soi estimates that the National Capital Region has only 6,000-8,000 tertiary care private beds for a population of roughly 45 million. Max Healthcare’s hospitals operate at 77-78% midnight occupancy, rising to more than 120% during the day once emergency admissions are in-